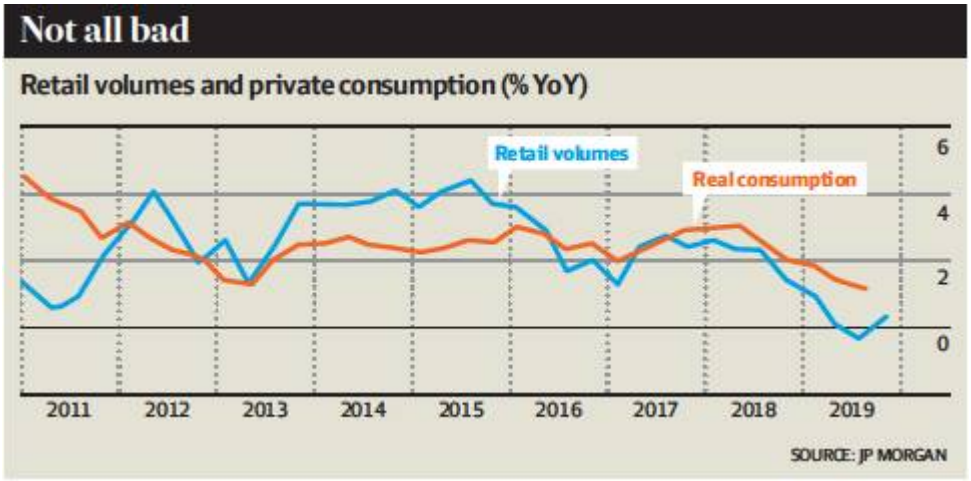
Economy had more momentum

Matthew Cranston, Sarah Turner and Sue Mitchell



• Stronger retail growth in December quarter

Surprisingly strong consumer spending in the final three months of 2019 has triggered investors to upgrade retail stocks and abandon calls for another interest rate cut this year.

The stronger than expected growth in retail trade in the December quarter supports Reserve Bank governor Philip Lowe's early call that the economy had reached a gentle turning point. But that will be tested by the hits to tourism and education from bushfires and the coronavirus.

"For now better momentum has at least been demonstrated," JPMorgan's Ben Jarman said, "and this is sympathetic to the RBA's characterisation of a gentle turning point, even if a new risk has arisen that could buffet the data significantly."

Goldman Sachs chief economist Andrew Boak went further, suggesting the RBA would not make any more interest rate cuts this year following its decision to keep the official rate at its record low 0.75 per cent on Tuesday.

"Absent a steady rise in the unemployment rate over a couple of months, rates on hold in 2020 now looks to us the most likely scenario," Mr Boak said.

He said Dr Lowe had signalled a strong reluctance to cut rates and showed a preparedness to look through near-term weakness in GDP and an undershoot of the RBA's inflation and unemployment targets.

Financial markets have further pushed out a 0.25 percentage point rate cut until November.

On Wednesday, Dr Lowe said he expected housing consumption spending to rebound after declining in per capita terms in 2019.

He said that such a decline was "highly unusual" for an economy that was also generating strong jobs growth.

Households had reduced their spending last year as they adjusted to lower wages growth, a fall in housing prices and high debt levels.

This year, the RBA expected spending to pick up as households became more comfortable with their balance sheet position, income picked up and as housing construction recovered.

Retail sales for the final three months as measured in constant prices rose 0.5 per cent in seasonally adjusted terms, above the 0.3 per cent expected by economists, and pointed to a lift in consumption's contribution to GDP in the December quarter.

Morgan Stanley's Chris Read said retail trade, while down in seasonally adjusted terms in December, would see an improvement in consumption and fourth-quarter GDP.

"This will support an improved consumption print in the fourth quarter GDP release on March 4," he said.

Morgan Stanley is now forecasting the Australian economy to have grown 0.4 per cent in the December quarter, nudging the annual figure back to 2 per cent.

The Australian Bureau of Statistics did note that "some effects from bushfires and associated smoke haze were apparent in NSW data", in December.

But the better consumer data coupled with continued house price growth had UBS analysts upgrade two housing-exposed retailers, Harvey Norman and JB Hi-Fi, to "neutral" and "buy" respectively. UBS upgraded both the retailers' earnings outlooks ahead of their financial results this month.

The rise in retail volumes in the December quarter was led by household goods retailing up 1.4 per cent, clothing up 1.5 per cent and department stores up 2.1 per cent.

Furniture retailer Anthony Scali also joined the more optimistic tone, suggesting that sales will improve in the June half following a rebound in customer orders and foot traffic in the December quarter.

"We are definitely seeing improving sales and orders compared to what it was – the first [FY] quarter was very difficult trading and store traffic was down significantly," Mr Scali said yesterday, after reporting better-thanexpected December-half profits.

Coles also reported an increase in first-half sales, saying the success of its Christmas campaign exceeded expectations. It pegged first-half earnings before interest and tax at between $710 million and $730 million, above consensus forecasts of between $658 million and $689 million.

Prescient fund managers such as DNR Capital had taken early positions investing in retailers such as Wesfarmers, which owns Kmart, Bunnings and a stake in Coles. DNR Capital's Chris Tynan said the market had clearly been too pessimistic.

"December retail sales, adjusting for the impact of November's Black Friday sales, and strength of quarterly volumes confirms our view that the market is overly pessimistic [on] discretionary retail, given the level of stimulus in the system," Mr Tynan said.

"Housing-linked retail in particular shows gathering momentum, driven by residential turnover, and is being reflected in company trading updates."

However, he is now more cautious on the outlook given bushfires and the coronavirus.

"East coast bushfires will impact retailers with regional store closures and poor metropolitan air quality, but discretionary spending may just be pushed out.

"Near term, coronavirus is more likely to impact domestic retailers through supply chain disruptions rather than customer transactions," Mr Tynan said.

Tribeca Investment Partners portfolio manager Jun Bei Liu said the retailers were also in a good position to perform well this reporting season.

“It’s an interesting crossroads for the economy,” she said, “and the question is: Are we out of the woods?

“I would say I’m cautiously optimistic on the sector.”

Over the final three months businesses also reported a slight improvement in business conditions. The NAB Business Survey released yesterday showed conditions lifted 2 index points in the December quarter.

“Business conditions appear to have reached a trough, edging higher for the second consecutive quarter,” NAB chief economist Alan Oster said.